

10.4

RELATED PARTY
TRANSACTIONS

In the previous section, we took a look at the forwards and derivatives contracts and how the company hedges its risk. In this section, we will understand Related Party Transactions.

Related Party Transactions refers to company's transactions with parties that are related to the company or its management in a significant manner. These include:

- ◇ Companies run by the same people
- ◇ Subsidiaries of the company
- ◇ Related to the key managing person
- ◇ Key managing person

How effective is hedging?	
Check trends in OCI and its components to	
Related Party Transactions	
Check and list all large amount items w.r.t to	
Check who holds the major related positions.	
Understand transactions relating to each	

It is mandatory for companies to report Related Party Transactions each year.